

The Polanyis

I came back to Vienna in 1927 for my first Christmas vacation, after four months as a trainee in an export firm in Hamburg. And I found waiting for me an invitation to attend an editorial meeting on the special New Year's issue of the weekly magazine, *The Austrian Economist* (*Der Oesterreichische Volkswirt*). I had been reading the magazine since my early teens but had never met any of the editors. However my father, then in government service, had been its sponsor when the magazine was founded in 1907, and had remained a close friend and adviser, and a frequent contributor.

At that time the magazine was one of the most distinguished publications in Continental Europe. It had originally been modeled after the London *Economist* but had soon developed into a distinct and very lively journal in its own right, embracing not only business and economics but world politics, science, and technology. To be invited to an editorial meeting of *The Austrian Economist* was thus a signal honor, even though it was meant to please my father rather than me. What made the invitation even more agreeable was a penciled scrawl at the bottom, signed with the editor's initials and saying: "We here have read your article on the Panama Canal and think it very good." The thesis on the Panama Canal and its role in world trade which I had written as part of my university entrance examination the year before had been published by a German economic quarterly only a few weeks earlier—and to the intense pleasure of seeing myself in print for the first time, even with a piece that consisted mainly of

graphs and tables, now was added recognition from people whom I had been reading for years. I don't think I ever received a better Christmas present.

The meeting was to be on Christmas Day at eight o'clock in the morning. I was enjoined to arrive on the dot, and did so. So did all the staff members, including the founder and editor-in-chief, a venerable, white-bearded, very deaf old gentleman. But by nine o'clock we were still sitting around, making small talk. "We are waiting for Karl Polanyi, the associate editor," I was told when I asked what was delaying the meeting. From the way this was said, it was clear that waiting for Karl Polanyi was nothing unusual.

We waited another forty minutes when I began to notice smiles on the faces of the people in the room. Then I heard a peculiar rhythmic chant, first quite faint, then getting louder and louder—it sounded as if someone was shouting out at the top of his lungs a lot of nonsense syllables like "Feng Hui-siang," "Chang Tzo-lin," "Chiang Kai-shek," and "Mao Tse-tung." Then a very large man burst into the room, carrying in each hand what looked like a small steamer trunk, and still bellowing nonsense syllables. He stopped long enough to shout: "Merry Christmas," then let himself drop into a chair that almost collapsed under the shock, all the while continuing to chant "Chang Tzo-lin" and so on.

He opened one of the trunks and an enormous mass of books, papers, magazines, letters cascaded out. In the same bellowing voice he shouted at top speed, with the words tumbling out like volcanic rocks: "For the annual review issue we'll have four lead articles. One on what goes on in China.

The civil war there between Chang Tzo-lin and Chiang Kai-shek and all the other warlords," and he chanted all those nonsense syllables again, "is the most important event of the next five years. And then we'll have a piece on the fall of agricultural prices on the world markets—it foreshadows a serious economic depression in a few years' time. The third piece will deal with Stalin in Russia; Leninism is dead and with it the Communist Revolution. There is a new Oriental despotism and the reintroduction of serfdom. And finally we'll have a piece about an English economist, Keynes is his name; the man, you know, who wrote about the *Economic Consequences of the Peace* in 1919-20. He's coming out with new and exciting theories that stand traditional economics on its head." He opened the other trunk and another avalanche of books, pamphlets, and papers rushed out.

Polanyi's colleagues were more annoyed than impressed.

"But Karl," said the editor-in-chief, "we can't just ignore the fair-sized civil war Austria had last summer." "Of course we can ignore it," came the answer. "We anticipated it five years ago." "But Polanyi," said another of the editors, "we surely need a lead article on the revaluation of the British pound. You yourself have told us that it was a major blunder and bound to harm both England and the world economy." "Yes," said Polanyi, "but we've said that before, and more than once." "But Polanyi, what about the stock market boom in the United States?" "And what about the final settlement of the German reparations?" "The stock market boom on Wall Street is a capitalist delusion," said Polanyi, grandly, "and the German reparations were settled five years ago. Since then

it's been clear that the Germans won't and can't pay reparations whatever treaties they sign." At that point he noticed me, asked who I was, had me introduced, and said: "Do *you* have any suggestion for a subject for one of our lead pieces?" Fortunately I had been asking myself while the editors were wrangling what the most unlikely subject might be that could match Polanyi's suggestions, so I said, "What about a piece on the danger of Hitlerism taking over Germany?" "Nonsense," cried all the editors together, "Nazism was beaten to a pulp in the last German election and is as good as dead." "Yes, I know," I said, "but I'm scared of it." "Very important," said Polanyi. "Do you think you could write three pages of double-space typescript telling us why you are scared?"

Polanyi was overruled. In the end the safe, conventional topics were chosen and Polanyi's speculations (as the editors called them) were reduced to short paragraphs and relegated to back pages. But I had by that time lost interest in everyone except Polanyi. I asked him whether he would mind my riding with him to his home after the meeting so I could hear more about the topics he had been suggesting—and he promptly invited me to have Christmas dinner with him and his family. When we left the meeting, the business manager handed out the monthly paychecks. Polanyi, who had his hands full with his steamer trunks, asked me to hold his check while he fumbled for a pen to sign the receipt. I could not help but notice the amount of the check, which was open and not in an envelope. I was surprised by its size—by Austrian 1927 standards it was enormous.

We took one streetcar line to its terminal way out in a slum

district. Then we took another one that ran through an industrial zone of small factories and warehouses. And then, from the terminal of that line, we walked a good twenty minutes through tumbledown shacks, abandoned-car lots, and a few city dumps until we came to a solitary old and grimy five-story tenement, the lower floors of which were boarded up. We climbed up all five stories—Polanyi all the while carrying those enormous valises that served him for briefcases. Finally on the top floor and in total darkness, the door was opened and we were greeted by Polanyi's wife Ilona, her mother, an elderly widowed Hungarian baroness, and the Polanyis' only child, a daughter then about eight years old. We sat down to dinner immediately and were served what, without exaggeration, I can call the worst meal of my life: old, badly peeled, half-raw potatoes—there was not even margarine with them. This was Christmas dinner! No one paid any attention to me or to the food. Instead all four, including the little girl, argued vehemently how Karl could earn enough money the following month to pay the bills. The sum they mentioned as being needed was ludicrously small—a fraction of the paycheck Polanyi had just received and actually less than I, living by myself in Hamburg on a clerk trainee's stipend, found inadequate to get by in the most modest style. Finally I could contain myself no longer. "I apologize for butting in," I said, "but I couldn't help but see the amount of Dr. Polanyi's paycheck when we left the editorial meeting. Surely one can live, and very well, on that?" All four stopped talking and were absolutely silent for what seemed an eternity. Then all four turned and stared at me.

And all four said, almost in unison: "What a remarkable idea; spend your paycheck on yourself! We never heard of such a thing." "But," I stammered, "most people do that." "We are *not* most people," said Ilona, Karl's wife, sternly; "We are *logical* people. Vienna is full of Hungarian refugees—refugees from the Communists and refugees from the White Terror that succeeded the Communists; and a good many cannot earn an adequate living. Karl has proven his capacity to earn. Therefore it is obviously only logical for him to turn his paycheck over to other Hungarians and then go out and earn what we need."

Karl Polanyi was the fourth of five children of equally unusual parents. The Polanyis—father and children—were the most gifted family I have ever known or heard of. They were also the most achieving family; every one of them had success and impact. But what made them truly remarkable was that all of them, beginning with the father in Victorian days and ending with Karl and his brother Michael in the 1960s, enlisted in the same cause: to overcome the nineteenth century and to find a new society that would be free and yet not "bourgeois" or "liberal"; prosperous and yet not dominated by economics; communal and yet not a Marxist collectivism. Each of the six, the father and five children—and the mother as well—went his or her own quite separate way, but each in search of the same goal. They reminded me of the Knights of the Round Table setting out in search of the same Holy Grail, each in a different direction. Each one found an "answer"—and each then realized that it

was not “the answer.” I know of no family that was so successful, measured by the standards of the world, and such a failure when measured by its own expectations. But I also know of no family in which every member was so full of life, of interest, of vital energy. And Karl was the most interesting, the most vital, the most energetic—at least of the four or five Polanyis I got to know personally.

Father Polanyi I never knew, of course. He was born between 1825 and 1830 in a small Jewish settlement in the Hungarian mountains. He became one of the student-leaders of the Hungarian revolt against the Habsburgs in 1848 and one of its most effective orators. And then he became, although not yet twenty-five, a tough guerilla commander in the long losing civil war the Hungarian insurgents waged, first against the Austrians and then against the army the Czar of Russia sent into Hungary to crush the rebellion. After the final defeat, the older Polanyi escaped to Switzerland where he studied engineering and became a stern Calvinist. For ten years or so he lived in exile, building railroads all over Europe and making a name for himself as a civil engineer and railroad builder. Then in the late 1850s, when the rebels were amnestied, he returned to Hungary, determined to carry out the original program of the 1848 Revolution but by other means. Instead of waging war against the Habsburgs, Hungary was going to attain its own national destiny as a distinct, modern, but unbourgeois culture through economic development based on railroads and on a modern, highly protected agriculture. Within a few years the father had become one of the “railway kings,” half financial, half political,

and totally speculative. Like almost all of them—in the United States as well as in Europe—he built the railroads of his vision; and like almost all of them, he overextended himself, crashed, and died bankrupt, around 1900.

When the older Polanyi was at the peak of his career and reputed to be the richest commoner in Hungary, around 1868 or so, he met and married a girl twenty years younger than he was. Cecilia was a Russian countess and an anarchist.

While still in her mid-teens she had been involved in a bomb plot—she had been making bombs in the chemistry laboratory of the Czar's School for the Daughters of the Nobility which her brothers had then used to kill a high police official. The girl had escaped and was living in hiding in Zurich when the older Polanyi met and married her. When I came to know her in the 1920s —and she was the first member of the family I met—she was still an anarchist but a shriveled-up old lady feared for her vicious tongue. Sometimes she was quite witty, as when she said upon the election of the first labor government in Great Britain: "In every other country this would be a step in the right direction; but England is the one country where the servants are even more servile than their masters." Usually she was just nasty. "What a boon for Margaret," she said when she heard that the husband of her best friend had been imprisoned for passing counterfeit currency. "She always whines about her husband's womanizing. Now he'll have to be faithful to her."

The couple had five children: two boys, Otto and Adolph; one girl, Mousie (she must have had another name but no one ever heard it or used it); then two more boys, Karl and

Michael. As soon as each of the children reached school age, he or she was taken to a castle their father had bought for them in the middle of an enormous wheat plantation miles from the nearest town. There the children were educated in strict isolation, without contact with anyone, especially not with other children. They saw only their tutors, one English, one Swiss-French, one Swiss-German, one Hungarian; each tutor teaching one child a week in turn. Their father was bringing them up according to Rousseau's precepts in *Emile*, which demand complete isolation from the hypocrisy and corruption of society. He also tried to emulate the education James Mill had given to his son, John Stuart Mill, and indeed to improve on it. Surprisingly, none of the children turned into an idiot, but they did turn out different and unusual. Otto, the oldest, born in the early 1870s, became an engineer like his father. And, like his father, he left Hungary while a young man and went to work in Switzerland and Germany. He was apparently a highly skilled machine designer and a good businessman who rose fast. He went to Italy around 1895 and took over a near-bankrupt machinery manufacturer. Otto Pol—he changed the name from Polanyi—turned the floundering firm around. It became the main supplier of brakes, steering gear, and the like to a new automobile company called Fiat. By 1910 Otto Pol had thus become one of Italy's leading industrialists and an exceedingly wealthy man. But he had also become an ardent Marxist, one of the founders and financial backers of the socialist newspaper *Avanti*, and the patron and friend of the young editor of the paper, a firebrand, more anarchist than

orthodox Marxist, whose name was Benito Mussolini.

In World War I Otto Pol's Socialist hopes came crashing down and he began to look for an alternative to class war to build the nonbourgeois society of the future. It was Otto Pol who converted Mussolini —then recovering from near-fatal wounds—to the new vision of class unity based on a corporate state, neither Socialist nor capitalist, a state in which the classes would be held together by common dedication to national virtue and thereby become unbreakably strong like the bundled twigs, *the fasces* of the Romans of glorious Republican antiquity.

Karl Polanyi was reluctant to talk about his brother Otto; the family had broken with him when he espoused fascism. But he once told me that Otto was still alive in the mid-thirties, had long become disenchanted with his brainchild, had grown contemptuous of Mussolini but was also disavowed by his former protege and forgotten by him, and had turned into a broken, bitter old man.

The next brother, Adolph, also became an engineer and, like his father, a railroad builder. Still quite young—it must have been well before World War I—he went to Brazil to build a railroad for an English engineering contractor. He fell in love with the country and decided to stay. He became Brazil's leading consulting engineer, first for railroads, harbors, and power stations, and later on for industrial projects as well. But he too was primarily interested in economic and social development. Like his father, he saw in the technological "infrastructure"—the railroads, the power plants, the ports—the engine of development and the maker of nationhood. But

what attracted him to Brazil was the promise of a new society, different from the “decadent capitalism” of Europe; an interracial society in which whites, blacks, and Indians would meld to create a new civilization, modern yet tribal, free yet not individualist. He was at the center of the group of sociologists, novelists, musicians, painters, and politicians who, in the years after World War I, created the mystique of the “New Brazil” with its own distinct culture and civilization which then, after World War II, exploded in a burst of cultural and artistic creativity of modern Brazilian painting, modern Brazilian music, and modern Brazilian architecture. Adolph was tireless in preaching “Brazil’s continental mission.” He agitated for years for a new Brazilian capital, for instance, far in the interior and away from the seaboard with its dependence on Europe.

I never met Otto Pol. But I did see quite a bit of Adolph—he also changed his last name to Pol—in Karl Polanyi’s apartment near Columbia University in New York. It was in the 1950s when Adolph was already an old man, close to eighty or older. He had come to New York for medical treatment and died within a year. But he was still tireless, an obsessive talker and a visionary. He spouted names and places, visions and promises, sounding for all the world like Karl chanting the names of Chinese warlords. Adolph foresaw then—at least ten years before anyone else—the coming North-South conflict between the developed and largely white, and the poor and largely non-white peoples of the world. But he was a defeated man. He no longer expected Brazil to be the society of the future. “It will be another

Japan," he said; "westernized though not of the West, and a cultural suburb of Miami."

Next after Adolph came Mousie, perhaps the most gifted of the Polanyis but the one with the shortest creative life. As soon as Mousie married, when she was twenty-five or so, she immediately became just another middle-class matron. But when she was twenty, Mousie Polanyi had been the star of the Hungarian folk movement—the movement that is best known in the West through its musicians, Bartok and Dohnányi. It was a movement that tried to get back to the roots of Hungarian culture, to the peasant, to his folk craft, his music, and his folk tales. Mousie gave it an additional dimension—she called it "rural sociology." And she gave it a political thrust: what the peasant had to contribute was a social vision, and a community, the communal village. When Mousie was all of nineteen she founded a magazine that she largely wrote herself which had wide influence in the whole Danubian Basin and throughout the Balkans, and in particular in the non-Magyar-speaking parts of the old Hungary such as Croatia. It sparked the "Green Front," the agrarian cooperative and democratic movement that was a powerful political force in Rumania, Bulgaria, and Yugoslavia in the years before and after World War I. The man whom the world knows as Marshal Tito was a Croatian "rural sociologist" and a follower of Mousie Polanyi's before World War I when he was still Josip Broz; and the peculiarly Yugoslav concepts of the self-governing village community and the self-governing plant community are not "Marxist." Stalin was quite right to condemn Tito as a heretic; his concepts are out

of Mousie Polanyi's 1900 "rural sociology"

The pamphlets, magazines, articles, and speeches that Mousie spewed out during the few years of her public life also played a part in the birth of this century's most interesting social experiment, the Israeli kibbutz. Among Mousie's friends and disciples in those years was a German sociologist and economist, Franz Oppenheimer. Oppenheimer had started as a romantic Socialist, a follower of Ferdinand Lassalle rather than of Karl Marx. He then turned to economics and sociology. Finally he had become, around 1900, an ardent Zionist and one of Herzl's closest collaborators. Herzl turned to him for the design of the first Zionist settlements in the Holy Land, the first kibbutzim. Oppenheimer—or so he told me many years later when he was an aging and ailing professor in Frankfurt—had already studied the Mormons. But it was Mousie Polanyi's tracts, with their picture of an idyllic egalitarian peasant community, with its high culture and its plain living, which he used in his design for the prototype of the kibbutz and the blueprint for a Jewish society that would be neither "capitalist" nor "Communist," but truly "Socialist."

Mousie lived to a ripe old age. She died in New York in the late 1960s. She was still a very beautiful woman—all the Polanyis were exceptionally good-looking. But she had given up sixty years earlier, around 1905; and after her short years as a youthful superstar she lost interest in anything but her children and her grandchildren. She never wrote anything again.

The youngest Polanyi was Michael, not born until 1891 and

almost twenty years younger than Otto and Adolph. He is the best-known Polanyi, indeed the only one of whom more than a handful of people have ever heard. When barely thirty and a young scientist, he became Albert Einstein's assistant in Berlin. He was then, in the 1920s, considered a candidate for the Nobel Prize, the only question being whether in chemistry or physics. When Hitler came, he went to England as professor of physical chemistry in Manchester. There during World War II he changed fields and became a philosopher. At first, like all the Polanyis, he was concerned with society and social processes. He looked to science to find the way out between a bourgeois capitalism that denied community and a Marxist socialism that denied freedom and the person. But very soon he gave up on society and became instead a humanist philosopher, opposed alike to the positivism and rationalism of the traditional "Liberal" and to the anti-human collectivism of the Socialists and Marxists. Human existence for Michael Polanyi is existence as an isolated individual; and the individual is grounded in values and ethic, rather than in logic and reason. *Beyond Nihilism* is the title of one of his best-known papers—and it sums up both Polanyi's concerns and his answer. Michael Polanyi became a modern Stoic.

Between Mousie and Michael came Karl. I got to know all the Polanyis except Otto, but Karl alone became a close friend. Like Mousie, Karl was an infant prodigy. And like Mousie, he at first seemed to have burned himself out at an early age. But unlike her, he started all over again when almost sixty and entered another period of great creativity.

Before he was twenty, as a law student in Budapest Karl

Polanyi, together with Hungary's wealthiest aristocrat, Count Michael Karolyi, founded the Hungarian Liberal Party and soon became the party's chief writer and the editor of its newspaper. The Liberal Party was totally unpopular: it alone, among all the Hungarian parties, opposed the oppression of non-Hungarians and demanded equal rights for Slovaks, Croats, and Rumanians which, however, would have made the Hungarians a minority in their own kingdom. The "Liberals" were almost outlaws. Karolyi, despite his great name and wealth, was driven into exile. But Karl Polanyi became Hungary's most popular orator and when barely twenty-five was elected to the Hungarian Parliament. He served in World War I as an officer and was severely wounded in action. In the hospital he met and fell in love with a very young nurse's aide and married her. Ilona, the daughter of an old gentry family—her father had been director-general of the railroads which the Hungarian government inherited through the bankruptcy of Karl's father—was only seventeen at the time; but she was already a seasoned politician, had been arrested for anti-war activities, and was a leader of the then underground Communist Party.

Shortly after they got married, and when Karl had barely recovered, Hungary lost the war. Michael Karolyi returned from exile, took over as prime minister, and called Polanyi into his cabinet as Minister of Justice. Six months later the Communists overthrew Karolyi and Karl was a refugee in Vienna. Within another three months Ilona, who at first had joined the Red regime but had broken with the Communists when the Red Terror began, had joined Karl in Vienna with

her old mother and a newborn baby daughter. Karl got an editorial job at *The Austrian Economist* and soon became the journal's associate editor and best writer I met him a few years later. Ilona had started to study physics and was bringing up their daughter. And Karl, already past forty and well paid, seemed perfectly content to have a brilliant past. "Yes. Karl Polanyi," my father said when I told him of my encounter at the editorial conference. "Yes, he *was* a great promise, but he has become one of the casualties."

Karl, however, was not to grow old as political writer on *The Austrian Economist*. Six years later he was out of a job—a victim of the depression, of the ban on the magazine's circulation in Germany and on advertisements from Germany after the Nazis had come to power there, and of the rising right-wing tide in Austria itself. He went to England where he had old Quaker friends. For the next few years he made a precarious living doing odd jobs, lecturing for the Workers' Educational Alliance, writing in obscure little magazines for a few pennies, and traveling alone in near-squalor to the United States for such lectures as his Quaker friends could drum up.

These were the years when I began to see a good deal of Karl and to get close to him. I had moved to England even before Karl did, and we soon fell into the habit of taking long walks together Sunday mornings. Then, after my wife and I had moved to America in 1937, Karl visited us whenever he came there.

They were not good years for Karl. When I had first met him, at the editorial conference of Christmas 1927, he did not

“speculate” as his colleagues thought. He analyzed, with an uncanny knack for seeing the importance of inconspicuous developments at an early stage. But in those years of drift after he had left Vienna he did indeed begin to “speculate”—and he had too much imagination to be good at it. Despite his own political experience he had a naive belief in the cunning, cleverness, and foresight of our rulers that made him see conspiracies and long-laid deep plots everywhere. Instead of interpreting the news as he had done before, he began to invent it. I remember, for instance, a long talk in New York around March 1, 1938—he had just arrived from England and I was about to leave for a trip there. I told him how worried I was about Hitler’s invading Austria. “That’s the one thing, Peter, you don’t have to worry about just now,” he said. I expressed amazement, for Hitler was loudly threatening Austria and had already begun to mass his troops along the Austrian border. “Precisely,” said Karl. “If he is screaming at Austria he won’t invade it. The country that is in danger is the one country Hitler is not threatening—he’s going to invade Switzerland.” Ten days afterwards, while I was in mid-ocean on my way to England, Hitler marched into Austria.

Two years after that, during the “phony war” months in the spring of 1940, Karl left Ilona alone in England and came to the United States for a few lectures, convinced that there would be no fighting. “It’s crystal-clear,” he said, “that there is a secret agreement between Hitler, Russia, the English, the French, and Japan for an attack on China and an attempt to partition it. The European war is just a feint.” Whenever I

heard Karl in those years discussing politics I was reminded of the old story of Napoleon's master-diplomatist, Talleyrand, who upon hearing that a colleague had died, said: "I wonder what he meant by this." Karl was, it seemed to me, becoming the victim of his own cleverness. But I may have done him an injustice; he may only have been ahead of his time. For after Karl's death the reality of politics did, finally, in Watergate, rise to the level of his imagination.

In any event, he was still a very brilliant and stimulating man, full of ideas. He also remained warm, generous, with a smile that could light up a winter's night, and possessed of an inner serenity that shone the more purely the worse his own circumstances became. When the *Blitzkrieg* that ended the phony war in June 1940 made it impossible for Karl to go back to England for the time being, my wife and I were delighted to have him spend a few weeks with us in a small cabin in northern Vermont we had rented for the summer. Our first child, a daughter, was then not quite two years old, and a warm friendship immediately sprang up between Karl and Kathleen. We listened every evening on the radio to the dreadful news of that summer of the fall of France, of Dunkirk, and the Battle of Britain. Karl could rarely sleep afterwards but lay awake all night thinking and worrying. Then in the morning, as soon as he heard Kathleen stir in her crib, he would go into her room and tell her his thoughts, ask her his questions, and test his theories out on her. Of course the child did not understand a word he said, especially as he still talked at machine-gun speed and in the rhythmic chant with which, years ago, he had intoned the names of the

Chinese warlords. But she was completely captivated. Despite the nightmare horror of those weeks, it was a very productive time for me and a turning point for Karl. A year and a half earlier, in the spring of 1939, I had published my first major book, *The End of Economic Man*, in which I had attempted to analyze the roots of Nazism and of the decay of Europe's liberal and humanist traditions. Actually, that book had been conceived years earlier—shortly after Hitler took power in Germany in 1933. And I myself had for quite some time been thinking of, and working on, a book that would deal with the future rather than the past, a book that would tackle the political and social integration ahead, assuming that Hitler would ultimately be defeated. By 1940 I was ready to start to write.

This book—published two years later under the title *The Future of Industrial Man*—first discerned that society was moving toward a society of organizations—we now call it “post-industrial society”—and that the questions of status, function, and citizenship in these organizations and of their governance, would become central questions of the post-World War II world. *The Future of Industrial Man* was the first book that saw what by now has become almost commonplace: that the business corporation—or indeed any organization—is as much a social organization, a community and society, as it is an economic organ. This book also laid the foundations for my interest in the management of institutions, and made it possible for me to start on the study of management. It was this work that, a few years later, led General Motors to invite me to analyze their top structure

and their corporate policies. Out of this in turn came my first “management” book, *Concept of the Corporation* (published in England under the title *Big Business*), written during the final months of World War II and published in 1946. Since then I have, by and large, alternated between books of social and political synthesis and management books.

As I was working on the first draft of *Future of Industrial Man* during the Vermont summer, I would test my ideas on Karl. He was as always interested, encouraging, and enthusiastic; but he was also totally out of sympathy with what I called “a conservative approach.” Yet this then forced him to clarify his own thoughts. And both of us soon realized that Karl had a major book in his head, still disorganized, disjointed, and unfocused but of real stature, provided only he could get the time and financial support to work on it for a year or two.

At this point Providence moved, and it moved through me. A few days after returning to New York—Karl had just taken off on another lecture tour in the Midwest—I got a call from the president of a small but highly visible woman’s college in southern Vermont: Could I come in the winter or spring and spend a week lecturing in Bennington? And when I said I would, the president asked: Did I by any chance know anyone in the field of politics and economics who might be available for appointment as scholar in residence? The Rockefeller Foundation had given Bennington a grant on condition that the appointed scholar work on a book in economic or social history. I knew the right man, of course. So Karl Polanyi went to Bennington early in 1941, together with Ilona whom the college hired to teach physics even though she had never

received a formal degree.

I myself moved to Bennington as a member of the faculty a year later, in the summer of 1942 when *The Future of Industrial Man* was finished. Karl was just starting to write his book and needed an audience and a critic. Bennington College was forced to close for three months in that war winter of 1942-3 because of a shortage of fuel oil. I was between books and had ample time. Two or three times a week that winter Kathleen, our daughter—by then a little over four and still under Karl's spell—and I trudged through deep snow to the tiny cottage where the Polanyis lived and listened to what was to become *The Great Transformation*. As it turned out, this was the only book Karl Polanyi ever finished.

In *The Great Transformation* Polanyi attempted to rewrite the history of the Industrial Revolution. What had transformed English society and economy, he argued, was not the machine, nor the explosion of world trade that had preceded it, nor even the capital surpluses created by the "agricultural revolution" of the late seventeenth and early eighteenth century. It was the extension of the market system with its "law of supply and demand" beyond the trade in goods and the exchange of capital so as to embrace the other two "factors of production," land and labor, and especially the latter, the employment and the livelihood of people. This was—and is—a novel thesis, and one that is still highly controversial.

Economic history was, however, only the vehicle for Karl's search for the alternative to capitalism and communism, and

for a society that would provide at the same time economic growth *and* stability, freedom *and* equality. To Polanyi, the most important parts of *The Great Transformation* were the theoretical models of integration between economy and society that he developed. His aim was to show that the market is neither the only possible economic system nor, necessarily, the most advanced one; and that there are alternatives that harmonize economy and community, and yet permit both economic growth and individual freedom. It was Karl's contention that a good society must use the market to exchange goods and allocate capital, but must not use it to allocate land or labor; for those either reciprocity or redistribution, that is, social and political rather than economic rationality, should apply. Indeed it was the contention of *The Great Transformation* that a good society must keep the market outside itself. The market is the right principle of integration for foreign, long-distance trade. But the community and its human relations inside must be shielded against disruptive market forces. Whether one accepts Karl's rewriting of modern history—and sociologists do, by and large, while economists do not—he was one of the few since the young Marx to raise the question of the relationship between “livelihood,” the economy, and “lives,” or the community; and he raised it in a new and original way, both “anti-capitalist” and “anti-Marxist.” If we ever get to a structural theory of economics—and we need it badly—it will avail itself of Polanyi's identification of the social principles of economic integration: redistribution, reciprocity, and market exchange. Yet, this classification, which is the most important

contribution of *The Great Transformation*, was noticed at the time only by a few.

It did however create enough of a stir to obtain for Karl an invitation, in the late forties, to teach economic history at Columbia University in New York. Karl was already past sixty then, but his energy was still undiminished. In the eight years he worked at Columbia he directed a massive research effort into primitive and ancient economies ranging from ancient Mesopotamia to the Aztecs, and from the Negro Kingdom of Dahomey to the Greece of Homer and Aristotle. He profoundly changed our understanding of early economics and of primitive economic institutions. In cultural anthropology and in economic prehistory Karl Polanyi became a big name.

But Karl himself became a deeply disappointed man.

Prehistory and cultural anthropology were, to him, secondary to his quest for the viable alternative, that is, for the good society beyond capitalism and communism. What he hoped to find in economic history was the key to the future. But he found only an increasingly cryptic past. The more he dug into prehistory, into primitive economies and into classical and pre-classical antiquity, the more elusive did the good non-market society become. Karl was much too intelligent to expect the Negro Kingdom of Dahomey to have been the earthly paradise that Alex Haley's popular semi-fictional *Roots* presents it as. Yet he was attracted to the Dahomey of Haley's ancestors because it had built a stable society and a sound economy on reciprocity and redistribution, with market trade confined to exports and imports and strictly separated from

the internal economy. Then he found, to his profound shock, that this stability had rested squarely on the slave trade. Indeed he found—as, incidentally, had been known for centuries—that it simply is not true that slave trade and slave raids were forcibly imposed by wicked outsiders (Arabs in the East, whites in the West) on a freedom-loving and harmonious black tribal society. The black kings and chieftains brought in the slavers and organized, conducted, and supported the slave raids. They did so in part to weaken and destroy rivals and enemies outside their own tribe or kingdom; in part to get trade goods such as guns to maintain their sway over their own people; but in large part to maintain the stability of a community based on reciprocity and redistribution.

And when Karl then turned from West Africa in the sixteenth and seventeenth centuries to classical Greece, the Greece of Plato and Aristotle, he got the same shock. It was slavery and organized slave raids against people of their own race, their own language, their own flesh and blood, that enabled the Greek city-states, and Athens above all, to have economic development and freedom for their citizens and to set up an economic system in which reciprocity and redistribution, rather than the market forces, ruled relations within the community, with “labor” kept outside the market system. If there was one article of the faith to which all the Polanyis subscribed—from Karl’s father on—it was that the “laissez-faire” Liberals of the nineteenth-century Manchester School were wrong in their assertion that the market is the only alternative to serfdom. Indeed the market creed of the

Manchester Liberals may be called the hereditary enemy of the House of Polanyi. All Polanyis searched for another alternative, whether Otto's early fascism, Adolph's romantic Brazil, Mousie's "rural sociology," Michael's stoic desire-free individual, or Karl's "social principles of economic integration." But the more Karl delved into prehistory, primitive economics, and classical antiquity, the more proof did he find for the hated and despised market creed of Ricardo and Bentham, and also of Karl's contemporary bogeymen, Ludwig von Mises and Frederick Hayek of the Austrian School. So Karl retreated into footnotes, into more and more anthropological studies, and into academic busyness.

During these years I would visit him at least once every month. He lived in a tiny Columbia faculty apartment on Morningside Heights, each of its grimy and ill-maintained rooms piled from floor to ceiling with books and pamphlets, articles and letters. The windows were shut tight and the heat turned up all the way while Karl, always cold, would be swathed in layers of frayed and threadbare sweaters.

Outwardly he did not seem to have changed at all. He had the same booming, explosive laugh. He was as lively as ever, and as voluble.

Wasting no time on preliminaries such as inquiring after my work or my family—even though he was very fond of my wife—he would immediately bubble over with his own interests and concerns. He still had the old habit of chanting strange names at the top of his voice. Only where these chants years earlier had been the names of Chinese warlords about to make the future, they increasingly became the strange

names of Bronze Age excavation sites in Asia Minor or the titles of local officials on a Sumerian cuneiform document 5,000 years old. He still divined the “real truth” behind the news, and was as conspiratorial, as labyrinthine, as clever as ever. Only the politics that now engaged his interest were increasingly the subterranean power struggles and intrigues in the Columbia faculty rather than those of the world’s great powers. He still talked of the search for the “alternative” and of harmony between human freedom and economic development. He still expected to find the “alternative” every time he tackled the study of a new primitive or early culture. And then, for a few weeks, he was young again and enthusiastic. But soon he would turn antiquarian, concerned with minutiae, with textual criticism and emendation, and with “scholarship” for its own sake. Where earlier he had been prone to sweeping generalizations, he increasingly became a footnote hound. And yet there was always a moment when the old—or rather the young—Karl Polanyi broke through once more. “I had hoped earlier,” he said at one of our last New York meetings in the mid-fifties, “that Mao would be another Confucius. He had the chance. But he has decided for power instead and will end up in Stalin’s image.”

Karl Polanyi retired from Columbia when he reached seventy, in 1956. He lived another eight years in Toronto with Ilona—their only daughter had married a Canadian. He was happy, or at least contented. He kept on working. He studied: the civilization of the ancient Near East, and Han China, for instance. But he wrote less and less. And even the little he wrote was only published, by and large, after his death by his

friends and disciples. By the time he died, almost eighty years old, he himself may well have forgotten the promise he had held out in *The Great Transformation* twenty years earlier.

Whenever I talk of the Polanyis someone is sure to say, “Why don’t you write a book about their lives?” They were indeed an unusual family, without doubt the most unusual I have known. They were also the most gifted family I have known. But still what made them matter was not their lives; it was their cause and its failure. Each achieved greatly—but not the one thing each had aimed at. They all believed in salvation by society, then came to give up on society and despair of it. The Polyanis themselves, however gifted, were very minor figures, entertaining rather than important. But their failure is important, for it may signify the futility of the quest that has engaged Western man for the last 200 years since the French Revolution, if not since Hobbes and Locke 100 years earlier: the quest for the one absolute “civic religion”; for the perfect—or at least the good—society. It was my willingness in *The Future of Industrial Man* to settle instead for an adequate, bearable, but free society that Karl at the time criticized and rejected as a tepid compromise. In such a society—and it may be the best we can possibly hope for—we would maintain freedom by paying a price: the disruption, the divisiveness, and alienation of the market. We would pay the price of conflict, of risk-taking choice, of diversity, for the sake of maintaining the person. In such a society we would be less concerned with the greater good and more with the lesser evil. This might well mean that society itself—that Great Baal and Moloch of modern man—might become

secondary, and society's organization no more important, in the end, and no more controversial, than infallible religion became in the Age of Society that is now fading. Today when the infallible society still dominates to the point where the quest for it threatens to engulf the world in intolerance, in total loss of freedom, and in self-destructive war, this might seem very remote. But just as the failure of a whole generation of brilliant thinkers to find the new synthesis between Catholicism and Protestantism in the late sixteenth and early seventeenth centuries foreshadowed the end of the Age of Infallible Religion fifty years later, so the failure of the brilliant Polanyis to find the alternative beyond capitalism and communism might well foreshadow the end of the Age of the Infallible Society.